

One of the greatest misconceptions about investing is that it takes a lot of money to make a lot of money. What it takes is some money and a lot of time. Hence, time becomes the most crucial component of investing, and is also the one we tend to easily squander.

Since time is so critical, the biggest success factor in your early financial independence is to start early.

Some of you may be wondering whether you are already too late whereas others may feel that it is too early to start thinking of savings. However, if it is a question of your financial independence, it is always worth the effort to start right now.

I started earning money at the age of 21 after completing my engineering, but consider yourself fortunate if you get such financial advice at that stage of life. Our only goal at that stage of our life seems to be settling down in our career, which is of course necessary. However, some wisdom on financial planning definitely helps us in the long run. Since time is an important factor, it is critical to start early on this journey. How early? Gone are the days when you should start investing only after you start earning. I always advise teenagers to start investing wisely on their pocket money so that investing and financial independence becomes a way of life.

When my daughters were 8 and 10 years and were studying in the 3rd and 5th standards, they already had their own bank accounts and they took their own decisions as to how much of their monthly pocket money they wanted to spend on themselves and how much they wanted to save or invest. They understood the principles of compounding well and have realized that the longer the money is kept and larger the amount of money, the faster it grows. I know this will not be taught in their schools ever. So, it is all the more important that it is taught in every home. They need to learn these basic facts about money and financials as early in life as possible.

"When we strive to become better than we are, everything around us becomes better too."

Imagine the example you would set to your children and family around you as you go through this journey of financial freedom. Your entire family